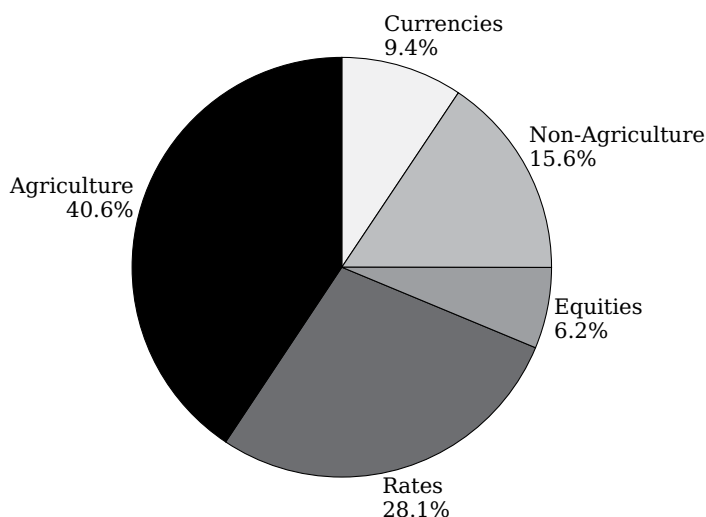


TABLE 6.42 Initial sector allocation 2012

	Long	Short	Total
Agriculture	0	13	13
Rates	7	2	9
Equities	1	1	2
Non-Agriculture	0	5	5
Currencies	0	3	3
Total	8	24	32

**FIGURE 6.62** Sector allocation 2012.

In ten years, we've seen it all, and this year doesn't look any different, at least not in the first few months. We gain a bit, lose a bit, but generally stay around zero up until April. This is when we start seeing something that we just haven't seen in the first ten years. We lose, and we keep losing. Loss after loss, month after month. After each month, you'll probably expect to see a bounce right back up to the highs, just as we've seen so many times before. But there also comes a point where you stop believing in magic and start getting seriously pessimistic. We were only over the zero line for a brief period early in the year, and then we hit -10% , -20% , -25% and finally end a horror of a year after a small bump at a cool -20% . Our first serious loss (Figure 6.63).

I can tell you, very much from experience, that losses of this magnitude are very painful. In this book and this chapter, the start of your trading